

**CFI 084/2024 City Stars Trading Crude Oil And Refind Prouduts
v Langur Holding Corporation S.L**

FEBRUARY 12, 2026 COURT OF FIRST INSTANCE - ORDERS

Claim No. CFI 084/2024

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE COURT OF FIRST INSTANCE

BETWEEN

CITY STARS TRADING CRUDE OIL AND REFINO PROUDUCTS

Claimant

and

LANGUR HOLDING CORPORATION S.L

Defendant

ORDER WITH REASONS OF H.E. JUSTICE ANDREW MORAN

UPON the Claimant’s Part 7 Claim Form dated 6 November 2024 (the “Claim” or “Claims”)

AND UPON the Case Management Order of H.E. Justice Andrew Moran dated 19 March 2025 (the “CMO”)

AND UPON the Order of H.E. Justice Andrew Moran dated 26 May 2025 (the “26 May Order”)

AND UPON the Amended CMO of H.E. Justice Andrew Moran dated 26 September 2025 (the “Amended CMO”)

AND UPON the Defendant’s Application No. CFI-084-2024/4, dated 15 December 2025, for an Unless Order and for Security for Costs (the “UO&SFCA”)

AND UPON consideration of the evidence of Brian Dayton in his third, fourth and fifth (also mis-named “fourth”) witness statements, dated respectively, 12 December 2025, in support of the UO&SFCA; 23 December 2025 in reply to the Claimant’s response to UO&SFCA; and 12 January 2026, in support of the EOTA, respectively

AND UPON consideration of the Claimant’s response to the UO&SFCA submitted by Ali Abualhasan on 21 December 2025

AND UPON the Defendant’s Application No. CFI-084-2024/5, dated 13 January 2026, for an extension of time to comply with its disclosure obligations in the Amended CMO (the “EOTA”) (together the “Applications”)

AND UPON the parties agreeing under the Rules of the Dubai International Financial Centre Courts 2014 (“RDC”), Rule 23.6 that the UO&SFCA should be determined on the documents filed without a hearing

AND UPON the Claimant failing to respond to the EOTA within the time allowed by RDC 23.41; and not responding to an inquiry from the Registry asking whether it intended to respond; and upon the Court being satisfied that a hearing would not be appropriate in all the circumstances

AND UPON reviewing the Court file

IT IS HEREBY ORDERED AND DIRECTED THAT:

1. Unless the Claimant complies with paragraph 5 of the 26 May Order, by payment of the amount of USD 19,905.03 to the Defendant into its bank account, details of which have been provided to it for that payment, within fourteen days of the date of this order, that is, by or before normal bank closing time where the designated account is held, on **26 February 2026**, its Claims in these proceedings shall be struck out and stand dismissed upon expiry of that time for payment.
2. In the event of the Claimant failing to make the payment required by paragraph 1 hereof within the time stipulated and its claims consequently being struck out, the Claimant shall pay the Defendant’s costs of the proceedings, which shall be summarily assessed by the Court in default of agreement.
3. In the event the Claimant makes the payment required by paragraph 1 above, within the time stipulated and these proceedings continue, it shall, within 14 days of making that payment, provide security for the Defendants costs of these proceedings, by payment into court of the amount of USD 250,000.
4. Time for compliance with the procedural steps contained within the Amended CMO, insofar as not yet carried out, shall be extended generally until further order, with liberty to either party to apply on 24 hours notice, for further or amended directions towards trial, in the event of the Claimant’s compliance with paragraphs 1 and 3 of this order.

Issued by:

Hayley Norton

Assistant Registrar

Date of issue: 12 February 2026

At: 3pm

SCHEDULE OF REASONS

1. The Applications now before the Court are necessitated by continuing breach and contumacious disregard of the orders of this Court by the Claimant, which is acting by its employed lawyer representative, Mr Ali Abualhasan, in these proceedings.

The Application for an “Unless Order”

2. This stems from a course of conduct by the Claimant that has been recorded in previous orders and reasons of the Court and does not require repetition in these reasons.

3. The Claimant’s conduct in the proceedings and the Defendant’s attempts to secure compliance with the Court’s orders, is fairly and accurately presented and summarised, in the third statement of Mr Bryan Dayton (“Dayton 3”) from §§4-13. I find that summary and conclusion in §13, to be an accurate characterisation of the Claimant’s procedural misbehaviour where he states:

“The Claimant’s conduct is consistent with a pattern of behavior that has seen it routinely ignore directions and orders made by the Court. That non- compliance previously led to a lengthy stay in proceedings. The conduct of the Claimant suggests a flagrant disregard for the procedural rules, directions, and orders of the DIFC Court, and has the effect of driving up the Defendant’s costs of defending in these proceedings.”

4. I accept Mr Dayton’s submissions in Dayton 3 at §16, that the Claimant’s pattern of procedural misbehaviour shows no sign of abating and is most recently demonstrated by its failure to comply with the Court’s directions for the disclosure phase of the proceedings. It is entirely correct for Mr Dayton to assert (at §20) that:

“The manner in which the Claimant is conducting these proceedings, including its failure to genuinely prosecute any claim is disruptive, wasteful of the Court’s time, and ultimately prejudicial to the Defendant, and has led to the unnecessary incurring of costs by the Defendant, a proportion of which the Claimant has already been ordered to pay the Defendant, but has failed to do so.”

5. The Claimant’s response to the UO&SFCA and Mr Dayton’s evidence, is wholly lacking in justification of, and unapologetic for, its failures to comply with orders of the Court. It amounts to nothing more than reiteration of late compliance with its obligations to the Court concerning its representative’s status (which compliance had to be secured by the Defendant with wastage of the Court’s and its time and costs); a reiteration of a bare denial of so called “spoofing”, without any attempt at compliance with the requirement to explain how it happened and how it will not recur, in a

medium of communication under the Claimant's control. The Claimant offers no explanation or excuse for its breaches of the Court's orders relating to production of documents and the disruptive and wasteful (of court time and costs) consequences thereof, described in Dayton 3 at §§17-20. Its late-coming claims of inability to pay costs ordered against it, are dubious and made without any substantiating evidence of any lack of means. Its failure to pay costs ordered against it, is a powerful indication of unwillingness to pay not only the costs it has been ordered to pay; but also, those it may be ordered to pay in the future.

6. The Claimant does of course have a right to proceed, and the Court will allow it to proceed, when it demonstrates an intention and willingness to proceed by the rules and orders of this Court but not by continuation of the course of procedural misconduct it has adopted thus far. The Court cannot allow it to carry on acting in breach of rules of Court, orders and directions, which would be manifestly prejudicial and costs-wasting for the Defendant, and in intolerable breach of the Overriding Objective, wasting judicial time and resources to the detriment of other litigants and the due administration of justice in this jurisdiction.

7. The time has come when the Court is forced to use its powers to compel the Claimant to comply with its orders and directions in the interests of the proper administration of justice and in fairness to the Defendant. A stay has not worked to prevent continuing disregard for, and non-compliance with the Court's orders; and so the Court must employ the only means left to it short of striking out the Claimant's claims - as it would be entitled to do, under RDC 4.16 (3), for the multiple breaches of rules and orders it has committed

8. The only means left to the Court, is to make the "unless order" it has made above. I am satisfied for the reasons advanced at Dayton 3 §§21-28 that the Court has the power to make such an order using its wide case-management powers and that the making of it is justified and necessary in the circumstances of this case. I have directed myself in accordance with the dictum quoted by Mr Dayton from *Roberto's Club v Rella* [2013] DIFC CFI 019 (5 February 2014) at § 25 of his third statement. I have considered it fair and appropriate to confine the "unless order" to a requirement to pay costs in accordance with paragraph 5 of the 26 May Order, rather than to include the failure to comply with paragraph 4 of the 26 May Order. I am satisfied that the ultimate sanction of automatic striking out, if the order in paragraph 1 above is not complied with, is justified in the circumstances of obvious and contumacious disregard for the Court's order to pay costs and the continuing breach of it. However, I am not satisfied that it would be necessary fair or proportionate to make an unless order in relation to the breach of paragraph 4 of the 26 May Order or its orders relating to production of documents. In my judgment, the Court has more suitable and proportionate means of dealing with breaches of that type of order available to it. The Court may be asked to draw adverse inferences based on that type of conduct. It also has costs sanctions at its disposal, which it may be persuaded to employ in due course.

The Security for costs application

9. As for this application, the Court of Appeal has very recently re-stated and clarified the principles of approach to the making of such an order in *LXT Real Estate Broker LLC v SIR Real Estate LLC*, CA 005/2025 in reasons given on 21 January 2026, for its order of 13 January 2026. The Court held as follows:

“Legal Framework

27. The RDC adopts a two-stage analysis for security for costs. Stage 1 is a mandatory factual gateway, while Stage 2 involves the Court’s discretion.

28. At Stage 1, the applicant must establish that at least one of the conditions in RDC 25.103 (sic) [*a typographical error appears in the reasons – the conditions appear in RDC 25.102*] is met. These conditions are jurisdictional prerequisites: unless a gateway condition is satisfied, the Court has no power to order security. This is a question of fact. In the present case, the Judge found that condition (2) was satisfied—namely, that the Claimant is a company and there is reason to believe it will be unable to pay the Defendant’s costs if ordered to do so.

29. Once a gateway is established, the Court proceeds to Stage 2 and determines whether, in all the circumstances, it is just to order security. This is a discretionary assessment that considers factors such as whether security would stifle a genuine claim, the parties’ conduct, proportionality, and the overall justice of the case.

30. A satisfied gateway does not entitle the applicant to security; it merely permits the Court to consider it. The ultimate decision is discretionary and guided by the overriding objective.”

10. Accordingly, I consider first whether the Defendant has shown that a jurisdictional gateway exists in this case through which the Court may pass to enter upon its discretion to decide if, having regard to all of the circumstances of the case, it is just to make an order for security for costs.

11. The gateway relied upon is that provided for in RDC 25.102(2) that the Claimant is a company (whether incorporated inside or outside the DIFC) and there is reason to believe that it will be unable to pay the Defendant’s costs if ordered to do so.

12. The Defendant contends that there is such reason to believe the Claimant will be unable to pay the Defendant’s costs if ordered to do so, on the basis that it has repeatedly failed to comply with paragraph 5 of the 26 May Order, by failing to pay the amount of USD 19,905.03 it was ordered to pay. The Claimant’s response to the application for security for costs also lends support to the Defendant’s case that the Claimant will be unable to pay the Defendant’s costs if ordered to do so, by its admission and assertion that its inability to pay the costs it was ordered to pay, was due to the Defendants seizure of all of the “plaintiffs” funds claimed in the current lawsuit.

13. In Mr Dayton's fourth witness statement (Dayton 4) at §§8-10, he disputes that the Defendant has seized all the “plaintiff’s” funds and explains how funds were provided to the Claimant for the transaction which has given rise to this dispute by a third party. He also points out, that the Claimant has provided no evidence that financing by shareholders or investors is unavailable to it. This, he

suggests, shows that attempts are being made to leave the Claimant as a shell that would be judgment proof in the event of an adverse costs order. He also points out that the Claimant has failed to provide any actual evidence of impecuniosity or that the provision of security would stifle its ability to pursue its claim.

14. On the gateway questions, there is no doubt that the Claimant is a company; and I am satisfied that there is ample reason to believe, including on the basis of its own assertions as to its present claimed inability to pay costs; and past unexplained failure to pay costs it has been ordered to pay; that the Claimant will be unable to pay the Defendant's costs of the proceedings, if it is ordered to do so.

15. On the question of whether, in all the circumstances, it is just to order security, I have performed a discretionary assessment, particularly taking the following factors into account. I have considered whether ordering payment of security for costs would stifle a genuine claim. There is no express submission or sufficient evidence before me that an order for security would have that effect. The bald assertion that the Claimant is impecunious by reason of the Defendant's seizure of its funds which are the subject matter of its claim, is unsupported by any evidence of the Claimant's financial position before or after the alleged seizure or at the present time. I am not satisfied that the Claimant cannot pay costs as a result of the Defendant's conduct but satisfied that it has no intention of paying costs already ordered against it or that it might be ordered to pay in the future. I have considered the Claimant's misconduct in the proceedings, which has been amply recorded in this and earlier judgments, orders and reasons of the Court, and have found it to involve deliberate, repeated breach of orders and rules of the Court in numerous respects; and to be contumacious in its character. It is continuing at the date hereof and likely to continue to trial, so that it is, in my judgment, fair, just and proportionate to secure the Defendant against the costs' consequences, past and future, of that conduct, if it prevails in its defence. In reaching that conclusion, and assessing the amount of security which follows, I have considered and followed the approach of the Court of Appeal in *Vegie Bar LLC v Emirates National Bank of Dubai Properties Pjsc* [2016] CA 013 (25 January 2018) at [7]-[9]. I also consider that the approach of the Judge at first instance in that case in awarding 50% of the security sought, was a reasonable exercise of discretion in that case and also a suitable starting point in this case.

16. The Defendant has complied with the requirements of RDC 25.99 in making its application for security and has provided as appendices 1 and 2 to the signed witness statement of Dayton 3, the required statements of past costs (incurred) and future costs (estimated). I have examined the charging rates of the lawyers involved and find them to be reasonable and proportionate, based on my own substantial experience of charging rates by lawyers in international commercial litigation and arbitration and the lack of any evidence or submission from the Claimant that they are not reasonable and proportionate. The Defendant applies for security in the amount of USD 266,158.21 which (as awarded in *Vegie Bar* supra) is said to be 50% of the total of incurred and estimated costs (see Dayton 3 §36) less the amount of costs (USD 19,905.23) it was ordered to pay, by way of the 26 May Order.

17. Although the rates charged and allocation of work as seen in the Defendant's incurred costs appear to be reasonable and proportionate, an assessment of an amount for security for costs is not intended to be in the nature of a detailed assessment. It is more in the nature of a summary assessment, in large part in advance, with inevitably, an increased measure of uncertainty when fixing a percentage of incurred and estimated costs to be secured, based on the litigation risk. In my judgment, it is appropriate to reflect that uncertainty, by either a staging of security amounts ordered and re- assessment if costs actually incurred, turn out to be more or less than estimated; or, by ordering an amount to trial which is discounted. This latter approach also leaves it open to an applicant to apply for further security, if costs incurred towards trial look likely for any reason to significantly exceed a percentage amount of security ordered in the first place. This approach has sometimes in my experience, also been found to be beneficial in keeping costs down, in cases where a paying party's procedural misconduct in the proceedings up to the making of an order for security for costs against it, has given rise to avoidable costs being incurred and wasted, as in this case. It is fair and reasonable for the Court to expect that if the Claimant pays the costs already ordered and the security now ordered, to continue with its action, lessons will have been learned by it; and that actual hours expended in future may be less than those shown in the "expected hours" column of the estimate.

18. For all of the foregoing reasons, I am satisfied that it is just to make an order for security for costs against the claimant in the amount of USD 250,000, and I have accordingly so ordered.

The EOT Application

19. The EOTA is necessitated by the Claimant's breach of its disclosure and production obligations as explained by Mr Dayton in his fifth witness statement of 12 January 2026, at paragraphs 5-6 thereof, with the adverse consequences for the procedural timetable set by the Court there set out. In my judgment, the Claimant's breach of the document production orders makes it impossible for the proceedings to continue in a fair and just manner at this time.

20. Consequently, the Court has no alternative but to accede to the EOTA by making the order it has made upon it above.

Conclusion

21. Finally, it should be noted that the Claimant's response to the UO&SFCA has been seriously lacking in failing to address significant parts of it, including in relation to the principles to be applied and the grounds advanced for the orders sought by the Defendant. It has made no response to the EOTA despite being given both the usual rule-prescribed opportunity and a further opportunity to respond, by the Registry.

22. The Court did consider in these circumstances, whether it ought to require the Claimant (or give it a further opportunity) to respond to specific matters or grounds relied on in the Applications. It has decided that fairness and justice do not require it to do so. To the contrary, fairness and justice and the

need for efficient conduct of these proceedings to further the overriding objective, demand that the court proceed to its determinations on the written materials now before it.

23. The Claimant has had abundant opportunity to respond to the Applications. It is represented by a person now in its employment, who holds himself out to be a lawyer, and who the Court is satisfied, has the capacity to read and understand the Rules and Orders of the Court and the submissions made against his employer in the Applications. He has the means and has had the opportunity to respond to them, with any grounds of resistance or submissions available to the Claimant. Insofar as he or the Claimant has not done so, I am satisfied that is entirely voluntary.